

Ch 1: Ten Principles of Economics

Onur Altındağ

EC 111 Principles of Microeconomics, Bentley University, Fall 2026

Meetings

Monday and Wednesday, 80 minutes

Text

Mankiw, *Principles of Microeconomics*, 10e, on MindTap

Homework

10 MindTap assignments
best 7 of 10 count

score $\geq 50\%$ on an assignment =
full credit

Grade

Homework + participation	20%
Midterm 1 (Oct 7)	25%
Midterm 2 (Nov 11)	25%
Final (Dec 11)	30%

Exams are closed-book.

No phones or laptops in class.

Office hours: Mon/Wed 11-12 and
1-3, by booking.

How to do well

- Read the notes before class. Class is for problems and questions.
- Do the MindTap homework the week it opens. Exam questions look like homework questions.
- Come to office hours with a specific question.
- Join a study group and **explain** things to each other.

Why explain?

Kristensen and Bjerkedal (*Science*, 2007): firstborns score higher on cognitive tests than their siblings.

The advantage goes to whoever *acts* as the eldest, not to birth order itself.

The eldest spends years teaching the younger ones. Teaching consolidates learning.

What is economics

Oikonomos: one who manages a household.

A household decides who cooks, who works, whether to eat out. With limited money and limited hours.

A society decides who grows food, who writes software, who gets the apartment near the station. With limited resources.

Scarcity: society cannot produce everything people want.

Economics: how society manages its scarce resources.

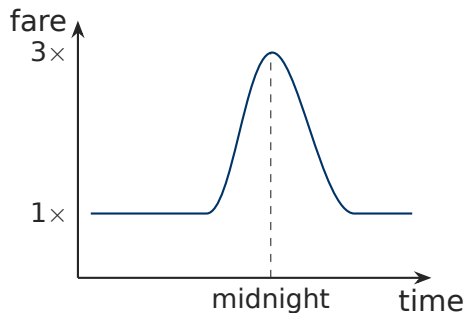
Not the study of money. The study of choice under constraints.

New Year's Eve, 12:30 a.m.

Ride requests spike in every large city.
Uber's multiplier climbs to several times the normal fare.

Question

What happens to riders? To drivers?
Who ends up in a car?



Why did you choose to go to college?

The map

How people decide

1. Trade-offs
2. Opportunity cost
3. The margin
4. Incentives

How people interact

5. Trade
6. Markets
7. Government

The whole economy

8. Productivity
9. Inflation
10. Short-run trade-off

Principles 1-4 are one idea seen from four sides.

1. People face trade-offs

To get one thing you want, you give up another thing you want.

You

- Party tonight vs. exam tomorrow
- More shifts vs. more free time

Society

- Guns vs. butter
- Clean air vs. income
- **Efficiency** vs. **equality**

Efficiency: the size of the pie. Equality: how evenly it is sliced. Slicing more evenly can shrink the pie. How much is an empirical question.

2. The cost of something is what you give up to get it

Opportunity cost: whatever must be given up to obtain an item.

A year at Bentley:

Tuition and fees	\$60,000
Books	\$1,000
Forgone earnings	\$35,000
Room and board	<i>mostly not a cost</i>
Opportunity cost	\$96,000

The largest item never appears on a bill.

A Saturday night

You planned to study. You value that at \$25.
A friend invites you skiing.

- Equipment rental: \$35
- Lift ticket: \$60
- Ski jacket you bought last year: \$180

Question

What does it cost you to go skiing?

3. Rational people think at the margin

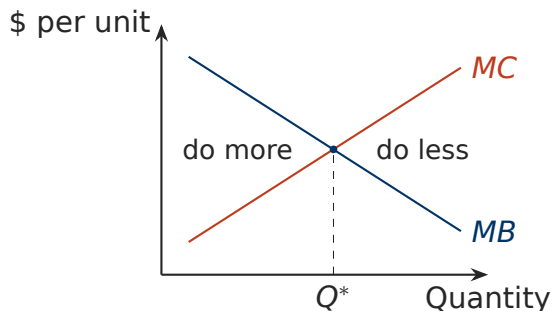
Not “study or not” but “one more hour?”

Marginal benefit: gain from one more unit.

Marginal cost: cost of one more unit.

Do it while $MB \geq MC$.

Stop when $MB < MC$.



The unfinished product

Your company has spent \$5 million developing a product.
Competitors just launched. Expected sales are now \$3 million.
Finishing and producing it costs \$1 million.

Question

Go ahead? What is the most you would pay to finish?

Sunk costs and the empty seat

Sunk cost: already paid, cannot be recovered. Ignore it.

The \$5 million is sunk. The jacket is sunk. What matters is the next dollar.

The empty seat

Average cost per passenger: \$500.

Marginal cost of one more passenger: a soda and pretzels.

A standby ticket at \$150 is profitable.

Water and diamonds

Prices reflect **marginal** value, not total value.

4. People respond to incentives

Incentive: something that induces a person to act.

Change the costs or benefits, and behavior changes.

Question

Gasoline tax goes up by \$1 per gallon. How do drivers respond?
Automakers? Trucking firms?

Incentives have unintended consequences

Seat belt laws make accidents less costly for the driver.

So careful driving pays less.

Peltzman (1975): fewer deaths per accident, more accidents, more pedestrian deaths.

Surge pricing again: a raise for drivers, a price increase for riders. Both respond. The response clears the shortage.

A policy that ignores incentives will be surprised by the outcome.

5. Trade can make everyone better off

Grow your own food, sew your own clothes, cut your own hair: poorer, hungrier, worse dressed.

Specialize in what you do relatively well. Trade for the rest.

A voluntary exchange happens only if both sides expect to gain.

Same between countries. Trade with China is not a contest with a winner and a loser.

Not everyone within a country gains. Chapter 3.

6. Markets are usually a good way to organize economic activity

Every economy answers three questions: what to produce, how, and for whom.

In a **market economy** nobody answers them. Millions of households and firms decide for themselves.

Adam Smith, 1776: self-interest plus prices, guided as if by an **invisible hand**.

A price is what buyers will pay and what it costs to produce. When it rises, producers make more and buyers economize. Nobody has to be told.

Taxis, 1937-2009

- Fixed number of medallions
- Fares set by law
- Long waits at peak times
- NYC medallion: over \$1 million

Uber, 2009-

- Anyone with a car and a phone
- Price moves with demand
- More drivers when needed
- Rides go to those who value them most

Question

Who lost? Who gained? Is surge pricing unfair?

7. Governments can sometimes improve market outcomes

Enforce the rules: property rights, police, courts. No harvest if it can be stolen.

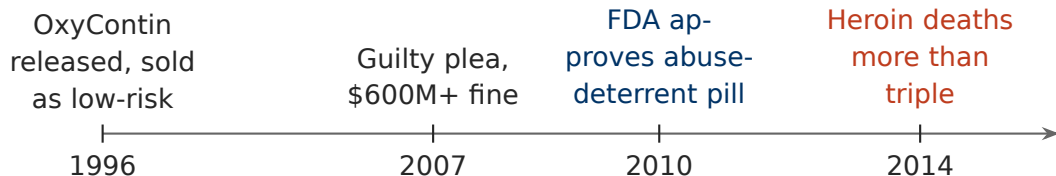
Promote efficiency: fix market failures

- Externality: pollution falls on bystanders
- Market power: the only gas station for 60 miles

Promote equality: taxes and transfers change how the pie is sliced.

Can improve, not always does.

Markets fail. Regulation fails too.



Misinformed patients, costs on bystanders: the market failed.

The new pill was hard to abuse. Users switched to heroin, which was cheaper.

Evans, Lieber, and Power (2019): total opioid deaths did not fall.

Regulation that ignores Principle 4 fails too.

Where is the government's role?

Question

Public K-12 schools. Patents that let drug companies charge high prices. For each: what would the market do alone, and does intervention improve on it?

8, 9, 10: The economy as a whole

8. Living standards depend on productivity.

Output per hour of work. Equipment, skills, technology. Almost nothing else matters as much.

9. Prices rise when the government prints too much money.

Germany, 1921-22: a newspaper went from 0.3 marks to 70 million.

10. Short-run trade-off between inflation and unemployment.

More money, more spending, more hiring. For a while.

Macroeconomics. Not this course.

Summary

Deciding

1. Trade-offs
2. Opportunity cost
3. Think at the margin
4. Incentives

Interacting

5. Trade: both sides gain
6. Prices coordinate
7. Government can help, can fail

The whole economy

8. Productivity
9. Money growth, inflation
10. Inflation vs. unemployment, short run

One idea, four sides: scarcity forces trade-offs; cost is what you give up; compare at the margin; when costs or benefits change, behavior changes.

Next: Ch 2, Thinking like an economist.
MindTap HW 1 is open.